Daily Market Brief

Monday, October 12, 2026

AI Driven Financial Research

TODAY'S BOTTOM LINE

Wednesday's September CPI is the hinge for the week: consensus looks for headline inflation to accelerate to 3.7% from 3.4%, with core at 2.5%, against a backdrop where higher yields, a stronger dollar and record diesel prices are already tightening financial conditions. Strategists at Goldman Sachs (GS) and Morgan Stanley (MS) argue that this tightening does the Fed's work and supports equities. Meanwhile, Trump's Russia diesel deal and "energy ceasefire" offer little credible relief on fuel costs, and AI leaders are flagging capital, not chips, as the next constraint on the buildout.

TODAY'S MARKET OPEN

US stocks opened little changed in light Columbus Day trading, with the S&P 500 up 0.05%, the Dow up 0.21% and the Nasdaq down 0.06% as of 9:44 a.m. ET. Oil is setting the tone. Crude reversed early losses after Russia struck Ukrainian power plants, undercutting President Trump's declared "energy ceasefire," and WTI was up 1.93%. The Treasury market is closed for the holiday, so bonds offer no live read today. Through the session, watch crude for any word on Iran's review of the US response on reopening the Strait of Hormuz.

MARKET THEMES

Rates Versus Equities

The dominant force is the tug between rising yields and a still constructive earnings outlook. Morgan Stanley argues the bond market, dollar and gas prices are tightening conditions enough that Fed Chair Kevin Warsh may not need to hike. Goldman Sachs has turned more bullish on stocks through year end, citing earnings and cheaper valuations. The bullish case is dominant for now, but it is conditional on CPI. A September headline print at or below the 3.7% consensus (0.6% month over month) validates the "market does the tightening" view. A hot core reading above the 0.2% monthly forecast would reopen hike risk. Citigroup (C) favors iShares Russell 2000 ETF (IWM) calls into the release, framing small caps, mired in their worst losing streak in years, as the highest beta expression of a benign outcome. Fed speakers Waller (Tuesday) and Bowman (Wednesday) will frame the reaction.

Energy Supply Politics

Trump's deal for Russia to release 300,000 metric tons of diesel immediately, scaling toward several million tons, alongside a declared Russia Ukraine "energy ceasefire," briefly knocked oil lower before prices recovered. Analysts doubt both Russia's capacity to deliver and the deal's ability to dent record diesel prices near $6.53 a gallon. Zelenskyy reported continued drone strikes on Ukrainian energy infrastructure within hours of the announcement, and the Kremlin said only that contacts are ongoing. Treat this as midterm driven headline risk rather than a supply shift. Fuel costs remain a live input to Wednesday's headline CPI and a drag on consumer discretionary margins. Tuesday's OPEC monthly report is the next supply read.

AI Capital Constraint

Broadcom (AVGO) CEO Hock Tan and Intel (INTC) CEO Lip-Bu Tan both identified access to and cost of capital as potentially the biggest bottleneck for AI infrastructure, outranking chips, memory and power. Intel's chief also flagged growing investor demands for ROI. Coming from suppliers whose order books depend on hyperscaler capex, this is a notable shift. In a rising yield environment, the marginal debt funded data center project faces higher hurdle rates. That raises the bar for AI capex guidance in upcoming earnings and favors balance sheet strength over leverage across the AI supply chain.

TOP STORIES

Big Banks Open Earnings Season Tuesday

Major bank results provide the first corporate read on how higher yields are filtering into credit demand, deposit costs and consumer health. Investors should focus on net interest income guidance, card and auto credit trends, and trading and capital markets revenue. These results are the earnings side of Goldman's bullish thesis, so weak loan growth or rising provisions would undercut it before CPI lands.

China's Record Gold Buying Puts a Floor Under Bullion

The People's Bank of China added about 23 tonnes in September, its largest purchase in nearly three years and its 23rd straight month of buying. Chinese imports reached a record $158.8 billion in the first eight months of 2026, already well above all of 2025. Structural de-dollarization and household safe haven demand offset the drag from buoyant US yields. This supports gold miners such as Newmont (NEM) and Barrick Mining (B) on dips.

Washington Targets Microsoft Over Foreign Hiring

The administration suspended Microsoft (MSFT), Adobe (ADBE) and six IT services firms from the PERM green card sponsorship program. Vice President Vance accused Microsoft of replacing 6,000 laid off workers with H-1B hires, although visa data show two thirds of its approvals went to existing employees. Amazon (AMZN) and Meta Platforms (META), the largest H-1B sponsors, were spared. The direct financial impact is modest, but the move signals rising, selectively applied labor policy risk for large cap tech and offshore IT services ahead of the midterms.

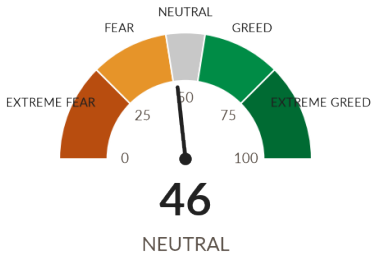
India Inflation Surprise Highlights Global Energy Pass-Through

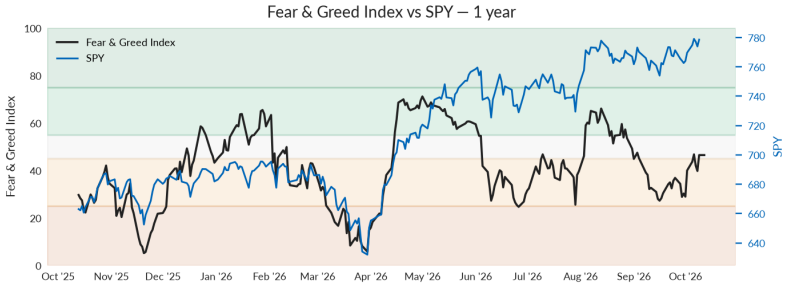
India's September CPI rose to 5.54% from 4.82%, above the 5.40% consensus and a 22 month high, with food inflation at 7.74% and goods transport up 14.73%. Following its first rate hike since 2023, the Reserve Bank of India has ruled out near term cuts. This reinforces a global tightening bias among central banks and is a headwind for EM exposure via iShares MSCI Emerging Markets ETF (EEM).

AI Pricing Draws Antitrust Scrutiny

A federal antitrust suit alleges McDonald's (MCD) uses an AI pricing engine to overcharge customers, which the company denies. Meanwhile, Kroger (KR) and Walmart (WMT) are expanding electronic shelf labels and AI driven markdowns. Separately, retailers including Dollar General (DG) and Lululemon (LULU) are cutting SKUs by 15% to 25% to protect margins as shoppers retrench. Together these point to a defensive, margin first retail playbook that now carries emerging legal and reputational risk around algorithmic pricing.

MARKET SENTIMENT





Previous close 46 · One week ago 44 · One month ago 33 · Three months ago 41 · One year ago 30

NEWS VS TAPE

News: last 14 days of claims. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Trend: distance from the 200-day average.

SECTORS AND INDUSTRIES IN THE NEWS

TARGET	NEWS	MOMENTUM	BREADTH	READ
Oil & Gas Integrated (ind 5)	+18	+4.2%	100%	agree
Software - Infrastructure (ind 28)	+18	+4.5%	82%	agree
Oil & Gas Refining & Marketing (ind 9)	+9	+12.5%	89%	agree
Utilities (sec 44)	+2	-1.9%	18%	conflict
Semiconductors (ind 34)	0	+1.4%	82%	agree
Internet Content & Information (ind 18)	-10	-0.0%	22%	agree
Trucking (ind 5)	-14	-4.3%	40%	agree
Technology (sec 158)	-14	+1.9%	67%	conflict
Airlines (ind -)	-28	-	-	thin
Residential Construction (ind 7)	-51	-7.3%	0%	agree

MACRO IN THE NEWS

TARGET	NEWS	MOMENTUM	TREND (VS 200-DAY)	READ
Oil (USO)	+38	+5.0%	+27.5%	agree
Credit (HYG)	-12	-1.6%	-3.0%	agree
Treasury 10y (IEF)	-53	-2.0%	-4.7%	agree
Treasury 2y (SHY)	-53	-0.4%	-1.1%	agree
Treasury 30y (TLT)	-62	-3.4%	-7.8%	agree

ALL SECTORS - TAPE ONLY

TARGET	MOMENTUM	BREADTH	READ
Technology	+1.9%	67%	up
Energy	+0.8%	70%	flat
Healthcare	+0.1%	60%	flat
Consumer Defensive	-1.1%	46%	down
Communication Services	-1.8%	33%	down
Utilities	-1.9%	18%	down
Industrials	-2.7%	43%	down
Financial Services	-3.5%	45%	down
Consumer Cyclical	-3.8%	31%	down
Basic Materials	-4.3%	47%	down
Real Estate	-4.6%	19%	down

BIGGEST PRICE MOVERS

Close 2026-10-09. The largest one-day moves, up or down, among stocks priced at $5 or more with $100M or more traded; ETFs and funds excluded. Ordered from biggest gainer to biggest loser. Bar: day change, full bar at 20%.

#	TICKER	NAME	INDUSTRY	$ VOLUME	VS 20D	DAY CHANGE	READ
1	CCI	Crown Castle Inc.	REIT - Specialty	$1.1B	3.7x	+15.60%	Up
2	MRNA	Moderna, Inc.	Biotechnology	$6.5B	1.7x	+14.21%	Up
3	HUM	Humana Inc.	Medical - Healthcare Plans	$2.2B	3.9x	+11.56%	Up
4	HIMS	Hims & Hers Health, Inc.	Medical - Care Facilities	$493M	1.6x	+10.19%	Up
5	PCVX	Vaxcyte, Inc.	Biotechnology	$313M	1.3x	+9.78%	Up
6	AMT	American Tower Corporation	REIT - Specialty	$1.5B	3.0x	+9.30%	Up
7	PLNT	Planet Fitness, Inc.	Leisure	$149M	1.1x	+8.97%	Up
8	SNOW	Snowflake Inc.	Software - Application	$3.0B	2.0x	+7.42%	Up
9	SBAC	SBA Communications Corporation	REIT - Specialty	$430M	2.4x	+7.34%	Up
10	AMBA	Ambarella, Inc.	Semiconductors	$136M	1.5x	+7.22%	Up
11	DDOG	Datadog, Inc.	Software - Application	$1.1B	1.2x	+7.11%	Up
12	HPQ	HP Inc.	Computer Hardware	$504M	1.1x	-6.91%	Down
13	VZ	Verizon Communications Inc.	Telecommunications Services	$3.9B	4.3x	-10.14%	Down
14	T	AT&T Inc.	Telecommunications Services	$3.3B	3.9x	-10.82%	Down
15	TMUS	T-Mobile US, Inc.	Telecommunications Services	$2.8B	3.7x	-13.27%	Down

MOST ACTIVE OPTIONS - BY CONTRACT VOLUME

Close 2026-10-09. Ranked by contracts traded; ETFs shown. Bar: call versus put positioning weighted by delta, from -1 to +1, full bar at 0.6. Bullish at +0.15 or more, Bearish at -0.15 or less. Option volume counts buyers and sellers alike, so the bias shows positioning, not proven buying. P/C is the put/call volume ratio and does not set the label. For ETFs the industry column shows what the fund tracks.

#	TICKER	NAME	INDUSTRY	CONTRACTS	P/C	CALL / PUT BIAS	READ
1	SPY	State Street SPDR S&P 500 ETF	S&P 500	10.96M	1.06	+0.49	Bullish
2	QQQ	Invesco QQQ Trust, Series 1	Nasdaq 100	7.02M	0.98	+0.48	Bullish
3	TSLA	Tesla, Inc.	Auto - Manufacturers	3.86M	0.62	-0.07	Mixed
4	NVDA	NVIDIA Corporation	Semiconductors	3.18M	0.76	-0.13	Mixed
5	AAPL	Apple Inc.	Consumer Electronics	1.74M	0.64	+0.56	Bullish
6	IWM	iShares Russell 2000 ETF	Small Caps	1.59M	1.23	+0.04	Mixed
7	SPCX	Space Exploration Technologies Corp.	Aerospace & Defense	1.43M	0.58	+0.28	Bullish
8	MU	Micron Technology, Inc.	Semiconductors	1.35M	0.68	+0.13	Mixed
9	AMZN	Amazon.com, Inc.	Specialty Retail	1.29M	0.40	+0.80	Bullish
10	PLTR	Palantir Technologies Inc.	Software - Infrastructure	1.17M	0.61	+0.86	Bullish
11	TLT	iShares 20+ Year Treasury Bond ETF	rates	1.09M	0.27	+0.50	Bullish
12	INTC	Intel Corp.	Semiconductors	1.06M	0.48	+0.00	Mixed
13	META	Meta Platforms, Inc.	Internet Content & Information	744K	0.61	-0.18	Bearish
14	MSTR	Strategy Inc	Software - Application	705K	0.47	+0.31	Bullish
15	AMD	Advanced Micro Devices, Inc.	Semiconductors	687K	0.78	-0.29	Bearish

INDUSTRY TAPE

Prices as of 2026-10-09. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Industries with fewer than 5 names omitted. Sorted within each sector: up, flat, down, then by momentum.

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Basic Materials (72)	-4.3%	47%	down
Steel (5)	+0.5%	80%	flat
Gold (14)	-1.5%	71%	down
Chemicals - Specialty (20)	-2.9%	45%	down
Chemicals (7)	-6.1%	29%	down
Construction Materials (12)	-8.3%	25%	down
Communication Services (43)	-1.8%	33%	down
Internet Content & Information (18)	-0.0%	22%	down
Entertainment (11)	-1.8%	46%	down
Telecommunications Services (8)	-12.1%	12%	down
Consumer Cyclical (118)	-3.8%	31%	down
Specialty Retail (21)	+0.1%	52%	flat
Leisure (8)	-0.2%	38%	down
Auto - Manufacturers (6)	-1.3%	33%	down
Travel Services (8)	-2.6%	25%	down
Restaurants (15)	-2.7%	33%	down
Packaging & Containers (6)	-3.0%	33%	down
Auto - Parts (7)	-3.3%	29%	down
Residential Construction (7)	-7.3%	0%	down
Auto - Dealerships (5)	-11.8%	0%	down
Gambling, Resorts & Casinos (6)	-13.1%	0%	down
Furnishings, Fixtures & Appliances (6)	-15.0%	17%	down
Consumer Defensive (63)	-1.1%	46%	down
Discount Stores (7)	+1.8%	71%	up
Household & Personal Products (14)	+0.7%	71%	flat
Packaged Foods (16)	-6.5%	19%	down
Energy (66)	+0.8%	70%	flat
Oil & Gas Refining & Marketing (9)	+12.5%	89%	up
Oil & Gas Integrated (5)	+4.2%	100%	up
Oil & Gas Explor. & Prod. (25)	+1.1%	72%	up
Oil & Gas Midstream (8)	+0.8%	88%	flat
Oil & Gas Drilling (5)	-0.5%	80%	flat
Oil & Gas Equipment & Services (9)	-4.0%	22%	down
Financial Services (167)	-3.5%	45%	down
Data & Stock Exchanges (11)	+0.9%	54%	flat
Insurance - Property & Casualty (13)	-0.0%	54%	flat
Insurance - Diversified (5)	-1.1%	40%	down
Insurance - Life (5)	-1.5%	80%	down
Financial - Credit Services (13)	-2.6%	46%	down
Banks - Diversified (5)	-2.9%	40%	down
Insurance - Brokers (5)	-3.6%	0%	down
Banks - Regional (74)	-4.2%	49%	down
Asset Management (20)	-4.6%	40%	down
Financial - Capital Markets (6)	-7.1%	17%	down

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Healthcare (125)	+0.1%	60%	flat
Diagnostics & Research (12)	+5.0%	92%	up
Healthcare Information Services (6)	+3.8%	67%	up
Drug Manufacturers - General (9)	+2.8%	100%	up
Care Facilities (7)	+2.3%	71%	up
Instruments & Supplies (12)	+2.1%	67%	up
Healthcare Plans (7)	+1.8%	86%	up
Drug Mfrs. - Specialty & Generic (7)	-0.3%	43%	down
Devices (18)	-4.0%	22%	down
Biotechnology (41)	-4.3%	49%	down
Industrials (155)	-2.7%	43%	down
Marine Shipping (5)	+3.6%	100%	up
Engineering & Construction (8)	+0.7%	62%	flat
Electrical Equipment & Parts (9)	+0.7%	44%	down
Industrial - Distribution (5)	-1.2%	60%	down
Specialty Business Services (13)	-1.5%	69%	down
Railroads (6)	-1.8%	67%	down
Industrial - Machinery (32)	-2.5%	44%	down
Staffing & Employment Services (6)	-3.4%	50%	down
Conglomerates (5)	-3.8%	20%	down
Trucking (5)	-4.3%	40%	down
Integrated Freight & Logistics (7)	-4.3%	29%	down
Airlines, Airports & Air Services (7)	-4.7%	29%	down
Aerospace & Defense (22)	-7.5%	0%	down
Real Estate (59)	-4.6%	19%	down
REIT - Specialty (8)	-1.4%	38%	down
REIT - Industrial (6)	-3.1%	17%	down
REIT - Office (6)	-4.2%	17%	down
REIT - Residential (7)	-4.5%	0%	down
REIT - Retail (11)	-6.2%	0%	down
REIT - Diversified (5)	-7.0%	20%	down
REIT - Mortgage (6)	-14.0%	0%	down
Technology (158)	+1.9%	67%	up
Computer Hardware (9)	+8.7%	100%	up
Software - Infrastructure (28)	+4.5%	82%	up
Communication Equipment (10)	+4.3%	70%	up
Semiconductors (34)	+1.4%	82%	up
Software - Application (43)	+3.0%	49%	flat
Hardware, Equipment & Parts (14)	-0.8%	86%	flat
Information Technology Services (16)	-0.8%	25%	down
Utilities (44)	-1.9%	18%	down
Regulated Electric (26)	-1.8%	19%	down
Renewable Utilities (6)	-4.4%	0%	down

ECONOMIC CALENDAR

Time (ET)	Event	Prior	Forecast	Actual
MONDAY, OCT 12				
12:50p	Fed Hammack Speech	-	-	n/a
2:00p	Budget Balance (Sep)	-167	210	-
TUESDAY, OCT 13				
3:45a	Fed Waller Speech	-	-	n/a
6:00a	OPEC Monthly Report	-	-	-
10:00a	Existing Home Sales MoM (Sep) Watch for stabilization in housing demand; beat could support Fed pause narrative.	-2	-0.3	-
10:00a	Existing Home Sales (Sep) Monitor housing market resilience; weakness may signal economic slowdown concerns.	3.98	3.96	-
1:00p	Fed Barkin Speech	-	-	n/a
2:00p	Budget Balance (Sep)	-167	-28	-
4:00p	Fed Collins Speech	-	-	n/a
WEDNESDAY, OCT 14				
5:40a	Fed Bowman Speech	-	-	n/a
7:00a	MBA 30-Year Mortgage Rate (Oct/09)	7.49	-	-
8:30a	Core Inflation Rate YoY (Sep) Key inflation gauge; higher reading pressures Fed toward continued rate hikes.	2.4	2.5	-
8:30a	CPI s.a (Sep) Track headline inflation momentum; above forecast risks hawkish policy response.	334.131	335.8	-
8:30a	Inflation Rate YoY (Sep) Critical inflation metric; significant increase could derail rate cut expectations.	3.4	3.7	-
8:30a	Inflation Rate (Sep) Watch absolute CPI level; elevated reading may concern inflation hawks.	334.98	336.67	-
8:30a	Core Inflation Rate MoM (Sep) Lower reading supportive for Fed pause; disinflation progress crucial for markets.	0.3	0.2	-
8:30a	Inflation Rate MoM (Sep) Monitor monthly inflation acceleration; above forecast strengthens hawkish rate narrative.	0.4	0.6	-
1:30p	Fed Barkin Speech	-	-	n/a
2:00p	Beige Book	-	-	-
4:30p	API Crude Oil Stock Change (Oct/09)	-2.09	-	-
THURSDAY, OCT 15				
8:30a	Producer Price Index MoM (Sep) Producer inflation indicator; sustained elevation could persist through consumer prices.	0.4	0.5	-
8:30a	Philadelphia Fed Manufacturing Index (Oct)	37.8	27.8	-
8:30a	Jobless Claims 4-Week Average (Oct/10) Labor market softening signal; rising average suggests weakening demand for workers.	198	199	-
8:30a	NY Empire State Manufacturing Index (Oct) Manufacturing optimism gauge; strong beat supports economic resilience narrative.	7.6	12	-
8:30a	Continuing Jobless Claims (Oct/03) Watch jobless claims stability; rising level indicates potential labor market cooling.	1716	1710	-
8:30a	Retail Sales Ex Gas/Autos MoM (Sep) Sharp slowdown signals demand weakness; critical for consumer spending assessment.	1.2	0.2	-

8:30a	Retail Sales MoM (Sep) Major economic indicator; significant miss suggests consumer spending deceleration.	1.4	0.3	-
8:30a	Retail Sales YoY (Sep) Year-over-year growth slowdown; deceleration confirms consumer momentum loss.	6	5.2	-
8:30a	Retail Sales Ex Autos MoM (Sep) Ex-auto resilience important; weakness across breadth signals broad demand softness.	1.4	0.5	-
8:30a	Initial Jobless Claims (Oct/10) Labor market entry point; higher claims suggest increased job market weakness.	197	200	-
8:30a	Core PPI MoM (Sep)	0.2	0.3	-
10:00a	Business Inventories MoM (Aug)	0.8	0.4	-
12:00p	EIA Gasoline Stocks Change (Oct/09)	0.382	-	-
12:00p	EIA Crude Oil Stocks Change (Oct/09)	-3.186	-	-
4:30p	Fed Hammack Speech	-	-	n/a
FRIDAY, OCT 16				
8:30a	Export Prices MoM (Sep)	0.6	1	-
8:30a	Import Prices MoM (Sep)	0.7	0.7	-
9:15a	Industrial Production MoM (Sep)	0	0.4	-
3:30p	CFTC Gold Speculative net positions	210.3	-	-
3:30p	CFTC Crude Oil speculative net positions	99.1	-	-
3:30p	CFTC Nasdaq 100 speculative net positions	58.1	-	-
3:30p	CFTC S&P 500 speculative net positions	-154.1	-	-
4:00p	Net Long-Term TIC Flows (Aug)	-27.9	125.7	-